SHUTTERSTOCK



2030–31, enough to meet around 72 per cent of projected demand. But the gap between ambition and reality remains considerable. The deeper problem lies in incentives. Wheat and rice farmers enjoy procurement systems built over decades that virtually guarantee purchases. Oilseed growers receive MSP (minimum support price) support but lack comparable procurement assurance. That gap must be plugged.

MIND THE EV GAP

The PM's appeal also included a plea for citizens to shift from petrol and diesel transportation to electric vehicles (EVs), both as a patriotic choice and an economic necessity. India today has around 400 million registered active vehicles. Nearly 92 per cent still run on petrol or diesel; EVs account for barely 4 per cent, though their penetration in new sales has crossed 5 per cent. The government moved quickly after the PM's appeal. Public sector banks, financial institutions and insurance companies were directed to cut travel expenses and gradually acquire EV fleets. Politicians led by example. Madhya Pradesh chief minister Mohan Yadav cut the size of his convoy; his Maharashtra counterpart Devendra Fadnavis arrived at work on a motorcycle; Union minister Ramdas Athawale took the Mumbai Metro. "Strengthening domestic energy transition pathways is not only about decarbonisation but also ensuring economic security and resilience," says Jagjeet Singh Sareen, India head at global strategic firm Dalberg Advisors.

But the transition itself contains contradictions. In September 2025, GST rationalisation reduced taxes on internal combustion engine vehicles, making petrol and diesel vehicles significantly cheaper relative to EVs. Now, even optimistic estimates suggest EVs and energy-efficiency gains may reduce oil demand growth only at the margins over the next decade. Heavy transport, freight and aviation remain overwhelmingly dependent on fossil fuels.

HOLD THAT FOREIGN TRAVEL

The call for austerity is also beginning to influence behaviour beyond fuel consumption. Mumbai-based entrepreneur Snehanshu Mandal had planned a family trip to Italy this September and a work visit to Sydney. Both plans have now been postponed. A domestic visit to Kolkata was dropped too. He is not alone. Travel has become more expensive due to a weaker rupee and rising aviation fuel costs. International airfares have risen by 20-25 per cent and domestic ones by around 10-15 per cent, according to industry estimates. Air India has temporarily suspended seven international flights from June to August 2026, among those ultra long-haul destinations like Chicago as well as shorter distances like Shanghai and Male.

"This is bound to affect overseas travel," says Rajiv Mehra, general secretary of the Federation of Associations in Indian Tourism & Hospitality. He expects a 20-25 per cent decline in outbound travel in the upcoming holiday season. West Asia—once accounting for nearly a third of India's international travel—has largely fallen off travel itineraries because of the conflict. Travel companies are seeing changes in behaviour rather than collapse in demand. EaseMyTrip co-founder Rikant Pittie says travellers are adjusting budgets and preferences rather than cancelling plans altogether. "Travellers are booking earlier, opting for shorter-duration trips and choosing destinations that offer better value," he says.

For policymakers, Modi's message has become more than an appeal for belt-tightening. Economists increasingly see the present crisis as a moment demanding deeper structural reforms. Trade expert Biswajit Dhar argues that India's response cannot simply be restraint. "We need to improve production and exports," he says, pointing out that countries in East Asia combined incentives with accountability while India relied excessively on subsidies without performance targets.

Others point to investment and employment concerns. Former Planning Commission advisor Pronab Sen believes private investment remains a major weakness. "One way to spur private investment is through public investment," Sen said recently. "But repeated shocks—from demonetisation to COVID—have made investors increasingly risk-averse." He warns that MSMEs may face particular stress if global uncertainty continues. Once banks lose confidence in lending to smaller businesses, rebuilding that ecosystem will be difficult. Partha Chatterjee, dean of academics, Shiv Nadar University, argues that tackling inflation alone will not be sufficient. Restoring confidence among investors, businesses and consumers is equally critical. The deeper challenges—weak exports, uneven investment, energy dependence, agricultural distortions and inadequate job creation—require harder reforms and political choices. The question now is whether voluntary restraint and policy corrections can soften the blow or whether tougher choices lie ahead. ■